IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - I, CHENNAI

CA (CAA)/1 (CHE)/2023

(Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation
Between

SUNFAST TVS LIMITED
Registered office at
98A, VII Floor
Dr. Radhakrishnan Salai
Mylapore
Chennai- 600 004

... Applicant Company/Transferor Company-1

And

TVS ENGINEERING LIMITED
Registered office at
98A, VII Floor
Dr. Radhakrishnan Salai
Mylapore
Chennai- 600 004

...Applicant/ Transferor Company-2

And

SUNDRAM FASTENERS LIMITED
Registered office at
98A, VII Floor
Dr. Radhakrishnan Salai
Mylapore
Chennai- 600 004.

... Non-Applicant/Transferee Company

And its shareholders

Order Pronounced ***19th June 2023***

CORAM:

SANJIV JAIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): T.K Bhaskar, Advocate

ORDER

***Per:* SAMEER KAKAR, MEMBER (TECHNICAL)**

This is an Application filed by **SUNFAST TVS LIMITED** (hereinafter "Transferor Company-1/Applicant Company"), **TVS ENGINEERING LIMITED** (hereinafter Transferor Company-2/Applicant Company") and **SUNDRAM FASTENERS LIMITED** (hereinafter Transferee Company/Non-Applicant") its Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies herein with its Shareholders. The said Scheme is placed as **Page 473-493** of the Application Typeset.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
Transferor Company-1	To dispense with	To dispense with	To dispense with
Transferor Company-2	To dispense with	To dispense with	To dispense with

Further the Applicant prays for to,

g. Dispense with the requirement of the Transferee Company having to approach this Hon'ble Tribunal under Section 230 to 232 of the Companies Act, 2013 for sanction of the scheme of Amalgamation of ***Sunfast TVS Limtied*** and ***TVS Engineering Limited*** with ***Sundram Fasteners Limited*** and their respective shareholders and **consequently dispense with the requirement of conducting, holding and convening meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee Company**;

3. From the certificate of incorporation filed, it is evident that

(i) The Transferor Company-1 is a Public Limited company incorporated under the provisions of Companies Act, 2013 on 08.04.2019 with CIN: U74999TN2019PLC128635. The Registered office address of the Transferor Company-1 is situated at 98A, VII Floor, Dr. Radhakrishnan Salai, Mylapore, Chennai- 600 004.

Particulars	Amount in Rs.
Authorised Share Capital	
10,00,000 Equity Shares of Rs.10/- each	1,00,00,000/-
Issued Subscribed and paid up share capital	
10,000 Equity Shares of Rs.10/- each	1,00,000/-

(ii) The Transferor Company-2 is a Public limited company incorporated under the provisions of the Companies Act, 2013 on 10.02.2020 with CIN: U29309TN2020PLC134322. The Registered office address of the Transferor Company-2 is situated at 98A, VII Floor, Dr. Radhakrishnan Salai, Mylapore, Chennai- 600 004.

Particulars	Amount in Rs.
Authorised Share Capital	
20,00,000 Equity Shares of Rs.10/- each	2,00,00,000/-
Issued Subscribed and paid up share capital	
20,00,000 Equity Shares of Rs.10/- each	2,00,00,000/-

(iii) The Transferee Company is a Public limited company incorporated under the provisions of the Companies Act, 1956 on 10.12.1962 with CIN:L35999TN1962PLC004943. The Registered office address of the Transferor Company-2 is situated at 98A, VII Floor, Dr. Radhakrishnan Salai, Mylapore, Chennai- 600 004. The authorized issued subscribed and paid up capital of the Transferee Company as on 30.09.2022 as averred in the Application is as follows:-

Particulars	Amount in Rs.
Authorised Share Capital	
25,00,00,000 Equity Shares of Rs.1/- each	25,00,00,000/-
Issued Subscribed and paid up share capital	
21,01,28,370 Equity Shares of Rs.1/- each	21,01,28,370/-

4. It is submitted that the Transferee Company has not filed a separate/joint Application for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors stating the following reasons in the form of memo vide SR No 714 dated 14.02.2023:-

(i) There is no requirement to file a separate or joint application on behalf of the Transferee Company for sanction of the scheme as

it is an amalgamation of wholly owned subsidiaries (Transferor Company-1 and Transferor Company-2) with the parent company namely the Transferee Company.

(ii) This scheme for Amalgamation does not involve re-organisation of issued subscribed or paid up share capital of the Transferee Company.

(iii) The shareholding and other rights of the members of the Transferee Company will be unaffected as no new shares are proposed to be issued by the Transferee Company.

(iv) The assets and liabilities of the Applicant Companies will become the assets and liabilities of the Transferee Company under the scheme.

(v) The creditors of the Transferee Company would not be affected by the Scheme in view of the financial position of the Transferor Companies.

(vi) The Applicant Counsel pressed emphasis on the following judgements of the Hon'ble High Court and Hon'ble NCLAT in which it has been categorically held that, there was no necessity of filing of a separate petition by the Transferee Company if the

merger is of a wholly owned subsidiary and its parent/holding company

- Mahaamba Investments Ltd- Vs- IDI Limited [(2004) 118 Comp Cas 295]
- In re Mohit Agro Commodities Processing Pvt. Limited [2021 SCC OnLine NCLAT 1139]
- *In Re* Sundaram Precision Components Ltd [2018 SCC OnLine NCLT 31879]
- Andhra Bank Housing Finance Limited -Vs- M/s Andhra Bank. [(2004) 118 Comp Cas 295]

5. The memo filed by the Applicant vide SR No 714 dated 14.02.2023 is taken on record and prayer (g) seeking dispensation with the requirement of the Transferee Company having to approach this Tribunal under Section 230 to 232 of the Companies Act, 2013 for sanction of the scheme of Amalgamation is **allowed**. The necessity of Transferee Company (as its the Holding Company of Transferor Company-1 and Transferor Company-2) filing a separate application is hereby ***dispensed with***.

6. An affidavit in support of the above application sworn for and on behalf of the Applicant Companies has been effected by one 'Mr.R.Dilip Kumar" in the capacity of whole time director/ authorized signatory of the

Applicant Companies. The same is placed along with the Application at pages 26-29 of the Application. It is also represented that the registered office of both the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Chennai.

7. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

8. The Applicant Companies have filed the Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Financial Statements for the year ended 31.03.2022 and Provisional/ Unaudited Financial Statements as on 30.09.2022.

9. The Board of Directors of the Applicant Companies vide meeting held on 08.11.2022 and 09.11.2022 have unanimously approved the proposed Scheme as contemplated above. Copies of the resolutions passed thereon have been placed on record by the Applicant Companies.

10. The Appointed date as specified in the Scheme is **01.04.2023.**

11. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in

compliance with Section 133 of the Companies Act, 2013. The accounting treatment certificates for the Applicant Companies and the Transferee Company are placed at Pg No's: 130,248 and 467 of the Application.

12. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal issues the following directions: -

A. **SUNFAST TVS LIMITED (TRANSFEROR COMPANY-1)**

I. **EQUITY SHAREHOLDERS**

(i) It is represented that, there are **Seven (7)** Equity Shareholders, whose consent affidavits amounting to 100% are placed at **Pgs. 108-123.** The Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at **Pg. 107**, who have sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company-1 that there are **Seven (7)** Equity Shareholders in the Company whose consent by way of an Affidavit has been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

II. **SECURED CREDITORS**

(i) It is represented that, there is **NIL** Secured Creditor. The certificate issued by the Chartered Accountant to this effect is

placed at **Page No 124** of the Application and seeks dispensation with holding of meeting. Since it is represented that there are **NIL** Secured Creditors in the Transferor Company-1 the necessity of convening, holding and conducting a meeting ***does not arise.***

III. UNSECURED CREDITORS

(i) It is represented that, there are **Nine (9)** Unsecured Creditors, whose consent affidavits amounting to 92% of the total value of credit are placed at **Pgs 126-127.** The Certificate issued by the Chartered Accountant certifying the list of Unsecured Creditors is placed at **Pg.125** of the application, who have sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company-1 that there are **Nine (9)** Unsecured Creditors in the Company whose consent by way of an Affidavit have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

B. TVS ENGINEERING LIMITED
(TRANSFEROR COMPANY-2)

I. EQUITY SHAREHOLDERS

(i) It is represented that, there are **Seven (7)** Equity Shareholders, whose consent affidavits are placed at **Pgs 200-215.** The

Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at **Page No. 199** of the application, who have sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company-2 that there are **Seven (7)** Equity Shareholders in the Company whose consent by way of an Affidavit has been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

II. **SECURED CREDITORS**

(i) It is represented that, there is **NIL** Secured Creditor. The certificate issued by the Chartered Accountant to this effect is placed at **Page No.216** of the Application. It seeks dispensation with holding of meeting. Since it is represented that there are **NIL** Secured Creditors in the Transferor Company-2 the necessity of convening, holding and conducting a meeting ***does not arise.***

III. UNSECURED CREDITORS

(i) It is represented that, there are **Twelve (12)** Unsecured Creditors, whose consent affidavits amounting to 94% of the total value of credit are placed at **Pgs 218-247.** The Certificate issued by the Chartered Accountant certifying the list of

Unsecured Creditors is placed at **Pg.217** of the application, who have sought dispensation with holding of meeting.

(ii) Since it is represented by the Transferor Company-2 that there are **Twelve (12)** Unsecured Creditors in the Company whose consent by way of an Affidavit has been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

C. SUNDRAM FASTENERS LIMITED
(TRANSFEREE COMPANY)- NON APPLICANT

I. <u>EQUITY SHAREHOLDERS</u>

(i) It is represented that, there are **69,272 (Sixty Nine Thousand Two Hundred and Seventy Two)** Equity Shareholders as on 23.12.2022. The list of Equity shareholders is placed as Page No 1-604 of the Additional Typeset vide SR.No 1775 dated 24.04.2023 of the application. They have prayed to dispense with the meeting of Equity Shareholders, as the Transferee Company is a 100% holding Company of the Applicant Companies. With regard to the dispensation of meeting of Equity Shareholders; the Transferee Company has filed a detailed memo vide **SR No. 714** dated **14.02.2023** along with the relevant judgements.

(ii) The detailed memo vide **SR No. 714** dated **14.02.2023** filed by the Transferee company is taken on record and the meeting of the Equity shareholders of the Transferee Company is ***dispensed with.***

II. **SECURED CREDITORS**

(i) There are **Four (4)** Secured Creditors, whose consent affidavits amounting to 100% of the total value of credit are placed at **Pgs 436-466.** The Certificate issued by the Chartered Accountant certifying the list of Secured Creditors is placed at **Page No. 435** of the application and they have sought for dispensation with holding of meeting.

(ii) Since it is represented by the Transferee Company that there are **Four (4)** secured creditors in the Company whose consent by way of an Affidavit has been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

III. **UNSECURED CREDITORS**

(i) There are 2939 **(Two thousand Nine hundred and thirty nine)** Unsecured Creditors. The list of Unsecured Creditors issued by

the Charted Accountant is placed at **Page 605-656** of the Additional Typeset in SR.No 1775 dated 24.04.2023 and they have prayed to dispense with the meeting of unsecured creditors as the Transferee Company is a 100% holding Company of the Applicant Companies. With regard to the dispensation of meeting of unsecured creditors of the Transferee Company, the Applicant has filed a detailed memo in **SR No. 714** dated **14.02.2023** along with the relevant judgements.

(ii) The detailed memo vide **SR No. 714** dated **14.02.2023** filed by the Transferee company is taken on record and the meetings of the Unsecured Creditors of the Transferee Company is ***dispensed with***.

14. Accordingly, the Application stands **allowed** and the Applicant Companies are directed to file the Application for the Second Motion within a period of fourteen (14) days from the date of receipt of this Order.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN
MEMBER (JUDICIAL)